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Principles of Private Law

Class 2B
Consideration: Part 2

A. The elements of consideration?
   - Detriment + benefit
   - Must flow between the parties in both directions

B. How much is enough?

C. **Past consideration** (from Class 2A)

D. Performance of an existing legal duty

PS: From Class 2A

Adequacy of consideration might be relevant in some contexts:

- Unconscionability
- Fraud
  - Eg: to check correct stamp duty
- Specific statutory angle:
  - Eg: S 23 Australian Consumer Law – unfair contract terms

Deeds

- formal agreements
- Higher level of formality required – traditionally 'signed sealed and delivered' eg *Foakes v Beer*
- Promises made in a deed do not require consideration
  - Eg: Will, gift, Deed of amendment of lease, Power of Attorney, Deed of Company Arrangement

Performance of an existing legal duty

General rule

- A promise to perform an existing legal duty is not sufficient consideration.
- Part payment of a debt (*Foakes v Beer*)

3 exceptions to the rule

- Practical benefit (*Williams v Roffey*; *Musumeci v Winadell*)
- Promises to third parties
- Genuine compromise (*Wigan v Edwards*)

Part payment of a debt

Pinnel's case [1602] 5 Co. Rep. 117a

- The rule in *Pinnel*'s case: a promise to pay part of a debt will not constitute consideration for a promise to accept the payment in satisfaction of the debt.
  - When would the rule in Pinnel's case not apply?
- '…the gift of a horse, hawk, or robe etc. in satisfaction is good. For it shall be intended that a hawk, horse, or robe, etc. might be more beneficial to the plaintiff than the money'

Part payment of a debt

Foakes v Beer (1884) 9 App Cas 605

- Foakes owed Beer £ 2,090 19s
- Agreement to pay by instalments
  - 500 up front
  - 150 each month until all paid
  - Beer agreed not to sue for the money awarded to her in the judgement
  - No mention in judgment of interest payable
    - but: 'an acquittance under seal [ie DEED], in full satisfaction of the whole, would have been valid and binding'
- Foakes paid sum due in full over time
- Beer sued for interest
- **House of Lords** agreed that interest was payable
  - Foakes had not provided any consideration for Beer's promise not to sue.
  - Foakes had only agreed to meet his existing legal duty to pay the debt as owed.

Existing Legal Duty Rule

TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd (1955) 56 SR (NSW) 323

The general rule is that a promise to perform an existing duty is not consideration, at least:

- when the promise is made by a party to a pre-existing contract,
- when it is made to the promisee under that contract, and
- it is to do no more than the promisor is bound to do under that contract. *(Wigan v Edwards* (1973) 1 ALR 497, 512 (Mason J)*)*

Often arises in cases of a variation to the terms of an agreement

General rule

- A promise to perform an existing contractual duty is not regarded as sufficient consideration

3 exceptions to the rule:

- practical benefit (*Williams v Roffey*; *Musumeci v Winadell*)
- promises to third parties (*Pao On v Lau Yiu Long* – class 2A)
- Genuine/ bona fide compromise (*Wigan v Edwards*)

Exceptions to 'existing legal duty' rule – **Practical Benefit**

Williams v Roffey Bros & Nicholls (Contractors) Ltd [1991] 1 QB 1

- RB had contract to renovate 27 flats
- RB sub-contracted carpentry to Williams (plaintiff)
- W experienced financial problems because his price was too low
- RB and W made oral agreement for W to pay RB extra per completed flat
- RB completed 8 flats
- W underpaid RB
- RB stopped work
- W sued RB for cost of replacement carpenter
- RB counter-claimed

Exceptions to 'existing legal duty' rule – **Practical Benefit**

Williams v Roffey Bros & Nicholls (Contractors) Ltd [1991] 1 QB 1

- What did the trial Judge decide?
- What were the 2 issues on appeal?
- What is the "practical benefit" exception to the existing contractual duty rule?
  - What did Russell LJH say about the effect of practical benefit?
- What is the legal test? (casebook p 117)
- What did Ld Glidewell say about *Stilk v Myrick*

Exceptions to ‘existing legal duty’ rule – **Practical Benefit**

Musumeci v Winadell Pty Ltd (1994) 34 NSWLR 723

M was fruit shop tenant
Competitor moved into shopping centre

M had trouble paying rent

Landlord promised to accept reduced rent from M

Landlord reneged

<u>Issue</u> Had M given consideration for landlord’s promise?



Musumeci v Winadell Pty Ltd – **Practical Benefit**

Does the "practical benefit" exception apply in Australia?

How the test developed in *Musumeci* (p 121) differ from the test in *Williams v Roffey* (p 117)?

Musumeci v Winadell Pty Ltd – **Practical Benefit**

Santow J: 3 reasons which might be put as to why a contract to perform an existing obligation should not be enforced.

1. Protect promisor from extortion

   Doctrine for avoiding contracts on the grounds of economic duress is not yet fully formed

2. Promisee suffered no *legal* detriment in performing what was already due from him; nor did they receive any *legal* benefit. – but this ignores the fact the promisee might receive a benefit even if not a legal benefit.
3. A benefit which is merely the hoped-for end result of performance cannot constitute consideration.

Exceptions to ‘existing legal duty’ rule

Re Selectmove Ltd [1995] 1 WLR 474

- Does the “practical benefit” exception apply to part payment and discharge of debt?

Re Selectmove Ltd [1995] 1 WLR 474

- Selectmove owed tax.
- Tax Dept petitioned to have Selectmove wound up over the debt.

- Selectmove argued - a representative of Tax Dept had agreed to allow Selectmove pay the tax in arrears. Selectmove contended that this either gave rise to a contract or estoppel preventing Inland Revenue from immediately acting on the debt.

- Inland Revenue argued that the representative had no authority to make any such promise. The representative had made this clear to Selectmove by telling them he would need to seek permission from his superiors. They also noted that in any case, Selectmove had also failed to pay the tax in arrears.

- The UK Ct of Appeal affirmed the principle that a promise to pay an existing debt is not consideration. The principle of 'practical benefit' in *Williams v Roffey Bros & Nicholls (Contractors) Ltd* did not apply to debt cases.

Exceptions to 'existing legal duty' rule – **Bona fide compromise**

Wigan v Edwards (1973) ALJR 586 (HCA)

E agreed to buy house from the builder, W

No contractual term re quality

W then agreed and signed a warranty to repair defects appearing within 5 years.

Major defects discovered but W did not repair them



Issue: was there valuable consideration for W's promise to repair defects?

Wigan v Edwards

- 15 April 1969: Edwards agreed to buy a house from Wigan. Contract did not contain any term about the house being free from structural defects.
- The Edwards signed the contract.
- The Edwards then had a discussion with Wigan regarding remedial matters which required attention. They gave Wigan the list of matters to be attended to.
- 22 April 1969: Wigan signed a warranty that he would remedy minor defects, and correct any major defects within 5 years.
- Wigan failed to do so.
- The Edwards sued Wigan for damages and obtained $6,000 in the District Court of Queensland.
- An appeal to the Full Court of Queensland was dismissed.
- Seller (Wigan) appealed to the HCA.

Wigan v Edwards

- What is the "compromise and forbearance to sue" exception to the existing legal duty rule ?

- Was there valuable consideration for Wigan's promise?
  - 22 April 1969: Wigan signed a warranty that he would remedy minor defects, and correct any major defects within 5 years.

- What was the outcome in *Wigan v Edwards* in HCA?

2B questions

Question Three

- A is a painting contractor and is offered a job with which he needs help. A asks B to subcontract. B says yes. No price is discussed, but it is understood that B will be paid. As they are finishing, A promises B that he will pay her 50% of his fee for the job.

Question Four

- A owes $40,000 to B. B agrees to accept $35,000, provided it is paid within a month. You are acting for A. How can you make sure the variation is enforceable?

Question Five

- Beatrice's motorbike needs repairs so that she can compete in the Finke Desert Race. She agrees with Dan that he will repair it for $500 and will have it ready a week before the race. The date approaches and his progress has been very slow, which makes Beatrice nervous. Her friend, Stan, approaches Dan and offers to pay him $200 extra to make sure the repairs are completed on time. Dan agrees and they shake hands. Dan works overtime and the bike is repaired on time. Beatrice pays him $500 but Stan refuses to pay the additional $200.
- Advise Dan.

Question Six

- A husband and wife engage Javier to renovate their kitchen. The fee is $60,000, to be paid within 30 days. The date passes without payment. Javier threatens legal action. The husband emails Javier: 'I'll pay you $30,000 tomorrow, if you'll agree to wait 8 months for the remaining $30,000'. Javier replies: 'OK, provided I receive the $30,000 tomorrow'. The next day the husband pays $30,000 and gives Javier a $400 bottle of wine. Two weeks later, Javier sends a letter of demand for immediate payment of the remaining $30,000. The husband refuses, pointing to the emails.
- Advise Javier.